on 23 July, it elected the country's first president, Ram Baran Yadav, a politician and physician who belonged to the Nepali Congress. At the same time as the monarchy was abolished, the last ruler of Mustang, Jigme Dorje Palbar Bista, also lost his royal titles, which he had held for half a century. As a young man, he had supported the CIA-funded guerrilla campaign to oust the Chinese from Tibet.

Prachanda, the revolutionary firebrand, was sworn in as Nepal's prime minister on 4 August 2008. His cabinet consisted of ministers from his own party as well as the CPN-UML, and the Madhesi Janadhikar Forum, a party representing the natives of the southern plains. Baburam Bhattarai became deputy prime minister and minister of Finance, while another deputy prime minister post was given to Bamdev Gautam from the CPN-UML. Somewhat alarmingly for the Nepalese military, Ram Bahadur Thapa Magar, a Maoist, was made minister of Defence. The former revolutionary assured the international community, especially India and China, that his party and government wanted to have good relations with everybody. He also pledged his commitment to elections and multi-party democracy. It seemed a complete turnaround from his earlier days and, not without reason, many of his comrades began to wonder if he also had joined those he himself had once termed 'revisionist filth'.

China began to re-evaluate its views of the CPN-M after the Maoists formed a new government. On 23 August 2008, Prachanda arrived in Beijing at the invitation of the Chinese government to attend the closing ceremony of the Beijing Olympics the following day. The minister for Information and Communications, CPN-M member Krishna Bahadur Mahara, and other government officials accompanied him to Beijing, where they remained for almost a week.

The leader of the Nepalese Maoists must have been impressed with China's economic progress. When he met Chinese Premier Wen Jinbao, he stated that

> the friendship between China and Nepal [has] endured the test of time. Historical changes are taking place in Nepal's domestic situation. The Nepali government and people [are] striving for national stability and development, and [hope] to get support and cooperation from China. Nepal would, as always, support China's efforts to maintain national sovereignty and territorial integrity.[34]